

since we are benefitting from the operating leverage in the old hotels and also through the asset-light fee that we are getting.

Q: How do you make a difference between Ginger and Vivanta in terms of positioning?

A: A room at Ginger has an area of around 200 sq. ft, but Vivanta is larger at 300 sq. ft, with more public areas, like a swimming pool. Vivanta targets the upscale segment, while Ginger is a mid-scale offering.

There are a few changes we made in Ginger. In 2018, we added a lifestyle component... [Now] it is a combination of quality and customer engagement.

On the other brands, Qmin has become larger and is more than just delivery. It is profitable and has 25 outlets, of which 18-19 are in Ginger. Soon, we will join hands with large business houses with the objective of serving their staff at a reasonable price.

72 | Q: You have a set of robust brands. Are there plans to hive away any of them as a separate entity?

A: No, we will keep all of them. We are expanding our hospitality ecosystem in which many brands that existed are being treated as standalone businesses. Take the case of The Chambers, which was put together over 40 years ago to serve the Taj. That is now opening in other locations.

Q: What is the plan on the overseas front? Will you be aggressively looking at acquisitions?

A: We have to grow internationally with the Taj. We first wanted to regain lost ground at home... It is important for us to be clear that we come from India and want to be the largest hospitality ecosystem here. On the basis of how things are playing out here, the Indian portfolio is growing and very soon will hit 270 hotels.

Just to elaborate on opportunities in other markets globally, we need to add hotels in Europe and wherever Air India is flying or for that matter, wherever there is a significant Indian diaspora. We want to benefit from that and are already working on leads... There are a few handicaps we face if we want to look at locations like Munich, Zurich or Amsterdam. There are is-

ON THE BUSINESS MIX

Our ambition is to have 30-40 per cent of the business from Taj. In an ideal world, it should be equally split between Taj and non-Taj. Just to give you some perspective, the revenue of this [Taj] hotel will be ₹700 crore, while the entire Ginger range in two to three years from now, with its 100 hotels, will do ₹700 crore

ON FUTURE PLANS

In 2025, we will be at more than 300 hotels across the globe. We do need a presence in Bangkok and Singapore, to name a few locations. From where we are placed, we can dominate the subcontinent and Dubai before starting to look around

ON EXPANDING GLOBALLY

We need to add hotels in Europe and wherever Air India is flying or wherever there is a significant Indian diaspora. We are already working on leads... There are a few handicaps we face if we want to look at locations like Munich, Zurich or Amsterdam. There are issues on local tax laws, local languages—you can hire people but it is important to get the right mix. That takes time and it can be a bit of a challenge

sues on local tax laws, local languages—you can hire people but it is important to get the right mix. That takes time and one must be honest that it can be a bit of a challenge.

Q: How will the form and shape of the organisation be in three to five years in terms of properties?

A: As we have said publicly, in 2025, we will be at more than 300 hotels across the globe. We do need a presence in Bangkok and Singapore, to name a few locations. Success in this business is not just adding dots on the map but creating sustainable value. From where we are placed, we can dominate the subcontinent and Dubai before starting to look around.

Q: How do you strike the right balance between allocation of capital and margins?

A: Development is an art and a science. Hence, we need a balanced portfolio and that's why we have the focus on different formats. Ginger is quickly scaling up, while Taj is making the big investments. We can easily adopt an asset-light model and to scale up, we need to do it with Ginger, Vivanta, amā, Qmin—these four are critical.

Q: You are at the core of the services industry story. With so much talk on AI, what is your approach to this?

A: AI will not replace the services. You don't want to go to a palace hotel and use a mobile phone to open the door. It is a very intimate, personal experience. That said, we have been using the enablers very effectively, but I think we will always be a service-driven business and that part is in need of the human touch.

Q: One is seeing disruptions in the hospitality industry. Would you see any threat from the likes of OYO?

A: I think we are blessed since it is difficult to disrupt assets like these. All the online travel companies only help in increasing our reach... To me, the disruption can be converted into an opportunity. It really comes down to the market opening up and that is good for us. **BT**

@TheSouravM, @krishnagopalan